

ChE 494 Entrepreneurship in Chemical Engineering

Fall 2019

Due Date: Tuesday October 17, 2019

Assignment#1

What Makes Entrepreneurs Entrepreneurial

Part 1: In your own words describe each of the following business concepts used in the article. You may need to do external research for some of these concepts.

Causal Reasoning:

Effectual Reasoning:

Target Market:

Make vs. Buy:

Market Segmentation:

Product Positioning:

Strategic Partners:

Ideal Customer:

Part 2: You have created the technology for the world's first flying car and you own the Intellectual Property so no one can steal your idea. However, you just graduated from college and don't have enough money to produce and sell the flying car on your own. Also, auto manufacturers won't buy your technology without you first demonstrating that people are willing to buy your flying car.

You are confident that you can sell your company for billions of dollars to a large auto manufacturer if you are able to initially sell 10,000 cars to willing customers over the next 5 years.

Using the "Process of Effectuation Used by Expert Entrepreneurs" shown in Figure 2, describe how you would arrive at identifying the initial target customer.

Definition of Several Possible Markets – What are possible markets for the flying car? How would you go about analyzing which markets might work?

Adding Strategic Partners – Who would make good strategic partners to help you achieve your goal? How would they benefit from partnering with you?

Defining your Ideal Customer: What kind of customers would be interested in your flying car? What would they use it for? Are they worried about safety? Can they afford it?

How do you reach your Ideal Customer: Do you know anyone like your ideal customer? If not, where would you meet them? How would you go about marketing to them, or selling to them?